

us humans, a fact that is so visible in the endless repetitions of identically configured booms and busts in modern markets. By history I refer to the anecdotes, not the historical theorizing, the grand-scale historicism that aims to interpret events with theories based on uncovering some laws in the evolution of history – the sort of Hegelianism and pseudoscientific historicism leading to such calls as the end of history (it is pseudoscientific because it draws theories from past events without allowing for the fact that such combinations of events might have arisen from randomness; it is mostly pseudoscientific because there is no way to verify the claims in a controlled experiment²). It is merely at the level of my desired sensibility, affecting the way I would wish to think by reference to past events, by being able to better steal the ideas of others and leverage them, correct the mental defect that seems to block my ability to learn from others. It is the respect of the elders that I would like to develop, reinforcing the awe I instinctively feel for people with gray hair, but that has eroded in my life as a trader where age and success are somewhat divorced. Indeed, I have two ways of learning from history: from the past by reading the elders, and from the future thanks to my Monte Carlo toy.

THE STOVE IS HOT

As I mentioned above, it is not natural for us to learn from history. We have enough clues to believe that our genetic endowment as *homo erectus* does not favor transfers of experience. It is a platitude that children learn only from their own mistakes; they will cease to touch a burning stove only when they are themselves burned; no possible warning by others can lead to developing the smallest form of cautiousness. Adults, too, suffer from such a condition. This point has been examined by behavioral economics pioneers Daniel Kahneman and Amos Tversky with regards to the choices people make in selecting risky medical treatments – I myself have seen it in my being extremely lax in the area of detection and prevention (i.e., I refuse to derive my risks from the probabilities computed on others, feeling that I am somewhat special) yet extremely aggressive in the treatment of medical conditions (I overreact when I am burned), which is not coherent with

rational behavior under uncertainty. This congenital denigration of the experience of others is not limited to children or to people like myself; it affects business decision makers and investors on a grand scale.

All of my colleagues whom I have known to denigrate history blew up spectacularly – and I have yet to encounter some such person who has not blown up. But the truly interesting point lies in the remarkable similarities in their approaches. I have noticed plenty of analogies between those who blew up in the stock market crash of 1987, those who blew up in the Japan meltdown of 1990, those who blew up in the bond market débâcle of 1994, those who blew up in Russia in 1998, and those who blew up buying Nasdaq stocks in 2000. They all made claims to the effect that “these times are different” or that “their market was different”, and offered seemingly well constructed intellectual arguments (of an economic nature) to justify their claims; they were unable to accept that the experience of others was out there, in the open, freely available to all, with books detailing crashes in every bookstore. Aside from these generalized systemic blow ups, I have seen hundreds of option traders forced to leave the business after blowing up in a stupid manner, in spite of warnings by the veterans, similar to a child’s touching the stove. This I find to resemble my own personal attitude with respect to the detection and prevention of the variety of ailments I may be subjected to. Every man believes himself to be quite different, a matter that amplifies the “why me?” shock upon a diagnosis.

We can discuss this point from different angles. Experts call one manifestation of such denigration of history *historical determinism*. In a nutshell we think that we would know when history is made; we believe that people who, say, witnessed the stock market crash of 1929 knew then that they lived an acute historical event, and that, should these events repeat themselves, they would know about such facts. Life for us is made to resemble an adventure movie, as we know ahead of time that something big is about to happen. It is hard to imagine that people who witnessed history did not know at the time how important the moment was. Somehow all respect we may have for history does not translate well into our treatment of the present.